

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester VI Examination, 2015-16

Paper No. BCH-322: Indirect Tax

Time: 3 Hours

Maximum Marks: 70

*Instructions: Attempt all questions. All questions carry equal marks (14 marks each).***Question 1.**

Explain the meaning of Direct and Indirect Tax with examples. Also discuss in brief the types of indirect taxes. [14]

OR

Write short notes on the following: [14]

(a) Constitution of India and Indirect Tax [7]

(b) Advantages and Disadvantages of Indirect Tax [7]

Question 2.

Define the term Small Scale Industry (SSI) under the Central Excise Act. What concessions and exemptions are available to an SSI unit in relation to excise duty? [14]

OR

A manufacturer prepared an invoice as follows: [14]

Particulars	Amount (Rs.)
(i) Price of goods excluding excise duty	15,00,000
(ii) Advertising charges	75,000
(iii) Publicity charges	65,000
(iv) Marketing and selling charges	80,000
(v) Outward handling charges	45,000
(vi) Servicing charges (after sale)	1,60,000
(vii) Outward freight and insurance	70,000
(viii) Allowed discount @ 20% on price of goods	

Find the assessable value and amount of excise duty if the rate of duty is 12.5%.

Question 3.

Enumerate the process under the Customs Act to effect an import of goods by an importer.
[14]

OR

Z Co. imported a machine from Europe. From the following information determine the Customs Duty payable: [14]

- Cost of Machine (FOB value): 40,000 Euro
- The cost does not include the following:
 - (i) Importer sent goods to the exporter which was used in manufacturing the machine: Rs. 2,00,000
 - (ii) Design and development expenses incurred outside India: 10,000 Euro
 - (iii) Importer paid commission to the agent of the exporter: Rs. 1,00,000
 - (iv) Importer paid commission to his agent to settle the price of the machine: 1,250 Euro
 - (v) Packing charges: 2,000 Euro
 - (vi) Transportation and Insurance: 5,000 Euro
- Rate of basic customs duty: 10%
- On such goods excise duty payable in India: 12.5% (for CV duty)
- Rate of exchange declared by Board: Rs. 70 per Euro
- SAD @ 4% and Education cess @ 3% leviable

Question 4.

Write short notes on the following: [14]

- (a) Procedure of Registration under the C.S.T. Act [7]
- (b) Inter-state sale [7]

OR

Compute the taxable turnover of a registered dealer under the C.S.T. Act from the following details: [14]

Particulars	Amount (Rs.)
Sugar (Exempt in state)	4,00,000
Newspaper	11,00,000
Khadi garments (Exempt)	1,25,000
Shares and securities	2,00,000
Export to America	11,75,000
Goods sold in state	3,00,000
Inter-state sale (Rate of tax 13% on these goods and goods returned worth Rs. 20,000)	4,52,000
Inter-state sale (Rate of tax 2%)	1,02,000

Question 5.

“Tax liability to pay service tax is on the provider.” Are there any exceptions to this rule? Explain. [14]

OR

Explain the salient features of Service Tax. Discuss the services listed under the Negative List of Service Tax Rules. [14]